

Week ending 23rd October 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills were subscribed recording subscription rates of **103%, 72%** and **82%** respectively. The CBK accepted KES **4.1B**, **6.7B** and **8.1B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

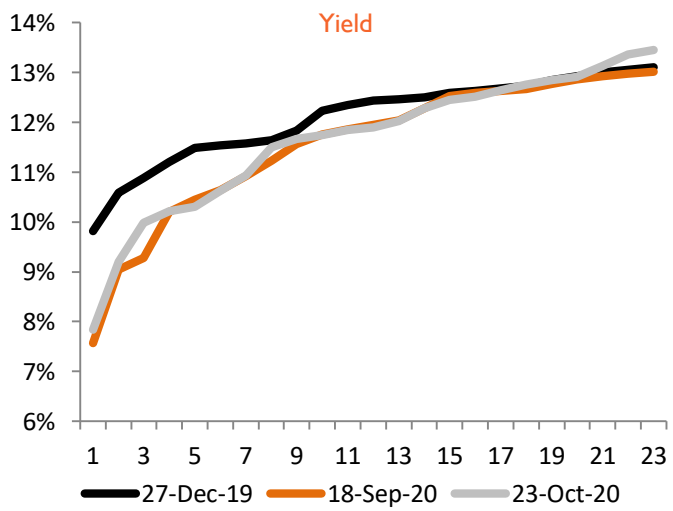
In October, Central Bank of Kenya re-opened two fixed bonds **FXD1/2011/20-(10.6Yrs) and FXD1/2018/25-(22.7Yrs)** in a bid to raise **50 Billion**. The bonds recorded a performance rate of **46%** and **92%** respectively. The CBK received total bids at cost KES **69.1B**. The CBK accepted KES **17.0B** and **43.0B** for the **FXD1/2011/20** and **FXD1/2018/25** T-Bonds respectively. The bond was oversubscribed due to the high liquidity in the market.

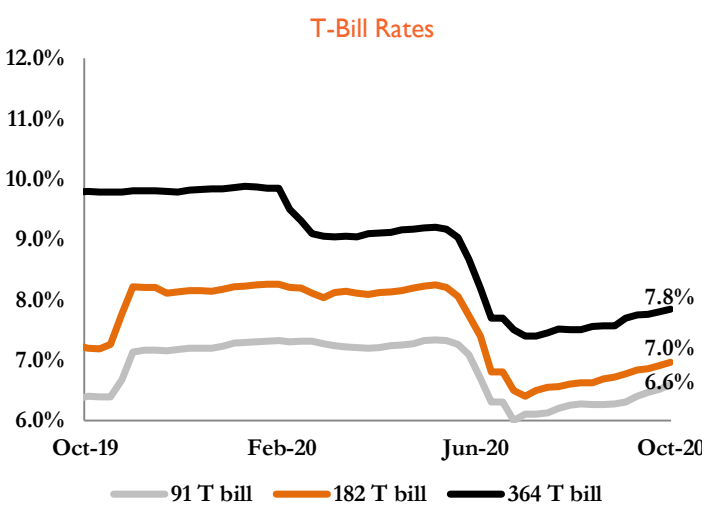
Key Indicators

	Current	Previous	% Change
91- Day	6.59%	6.52%	1.07%
182-Day	6.97%	6.91%	0.87%
364-Day	7.84%	7.80%	0.51%
Interbank Rate	2.90%	2.44%	18.85%

Macroeconomic data	Current	Previous
GDP (2Q20vs. 2Q19)	-5.7%	5.6%
Inflation (September)	4.20%	4.36%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (August)	11.01%	11.29%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.14%** to stand at **108.77**.The CBK's usable forex reserves currently stands at **USD 8,223million** (**4.99** months of import cover) as at October 22nd a **1.06%** decrease from **USD8,311million**(**5.04** months of import cover) as at October 15th.

Inflation

Inflation decreased to **4.20%** in September. The CPI remained at **108.57.** This decrease occurred on the back of a drop in the housing, water, electricity, gas & other fuels and transport; information and communication indices which decreased by 0.05% and 0.01% respectively**.**

GDP growth

Growth receded to **-5.7%** in 2Q20 from **5.6%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.3%** to **6.4%** year-on-year, other sectors have had negative growth including manufacturing, education and accommodation that slowed down to **-3.9%, -56.2%** and **-83.3%** respectively as a result of the crisis caused by the pandemic. For more information click here.

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